

The Indian stock market is not a new concept. It has a history of about 299 years old. It was in early 18th Century, the Indian Stock Market History main institution that is dealing in the trading of shares and stocks is the East India Company. Later by around 1830's the main dealing in the shares and stocks (mainly in bank and cotton) was initiated in Bombay. However, the items in which the trading took place increased tremendously by the end of 1839. There after the concept of broker business was started which show momentum in the mid 18th century. This concept has attracted number of people to indulge in the trading of items. By 1860, the number of brokers who are dealing in the trading of items goes up to 60 in number. Further, the number of brokers increased from 60 to 250 in around 1862-1863.

However, around 1860-61 there is no supply of cotton from America as there was civil war that took place in America. Due to this, there is a concept of Share Mania that took place in India.

This is the era of 1860 in which the Indian market had the initial flavor of the trading in items and the concept of Stock market. Thereafter, it has shown significant changes both in the pre-independence era and post independence era.

Pre-Independence Era

The concept of stock market place was not a very systematic system. People who needs to trade generally gathered on the streets which was popularly known as the DALAL STREET and the trading and the transaction used to take place from the Dalal street. It was in year 1875 that the first stock exchange was formulated in the name of "The Native Share and Stock